

citecolorblue

SCXconvergence

SCX Industry Audit: Multi-Verifier Convergence Analysis Across Six Sectors

SCX

20267 / July 2026

/ Document ID: SCX-IA-2026-001

Abstract

Abstract SCX/YajieManufacturingSemiconductorBankingCivil Servants Corethere exists——Civil Servants $M = 1$ BankingManufacturing $M > 1$ ISOJORC/NI 43-101 however $M > 1$ there exists $\sum g = 0$ i.e.allall $M > 1$ Conflict of Interestthere exists

Yajie“ $M > 1$ ”Banking/Manufacturing/ $M > 1$ $M > 1$ $\sum g = 0$ ——each“”“”
 $\sum g = 0$ SCX“”“”
 $\sum g = 0$ allSCX5,000/SCX1,000-2,500/

Abstract: This paper presents a systematic analysis of trust-mechanism restructuring under the SCX/Yajie Protocol across six critical industries: professional services, manufacturing, semiconductors, natural resources, banking, and civil service. Our central finding is a structural gradient in trust mechanisms: while services and civil service operate under a near- $M = 1$ self-declaration regime, banking, manufacturing, and resources already have formal $M > 1$ multi-verifier systems (Basel accords, ISO certification, JORC/NI 43-101 qualified-person regimes). However, all existing $M > 1$ systems share a fundamental defect: the absence of the $\sum g = 0$ mathematical constraint—the requirement that the sum of all verifier biases must equal zero and that all verifications must converge toward observable facts. Existing $M > 1$ systems employ multiple verifiers, but verifier biases may systematically lean in the same direction (regulatory capture, paid-auditor conflicts of interest); no mathematical mechanism forces convergence toward truth.

The revolutionary contribution of the Yajie Protocol is not “introducing $M > 1$ ” (banking/manufacturing/resources already have $M > 1$), but rather **superimposing the $\sum g = 0$ constraint on both existing and new $M > 1$ systems**—transforming each industry’s trust mechanism from “multiple verifiers whose biases may coexist” to “multiple verifiers whose biases must sum to zero.” $\sum g = 0$ constitutes SCX’s genuine technical contribution: it transforms verification from a

sociological question (“who is more credible?”) into a mathematical question (“do the biases converge?”).

Any industry participant that refuses multi-verifier audit under the $\sum g = 0$ constraint will have all its claims marked as **UNDECLARED**, rendering them non-tradable within the Yajie network. We conservatively estimate the global addressable SCX audit market across six industries at approximately \$500 billion/year, with SCX-capturable share projected at \$100–250 billion/year.

Keywords: SCX protocol, Yajie audit, multi-verifier convergence, $\sum g = 0$ constraint, industry audit, trust mechanism, verifier bias, audit sovereignty, information asymmetry, UNDECLARED marking.

1 / Introduction

1.1 / The Structural Defect of Trust

each however —Information Asymmetry

Definition 1.1. $\mathcal{A} = \{A_1, A_2, \dots, A_M\}$ C $M = 1$ $M > 1$

Definition 1.2. $g_i \in \mathbb{R}$ A_i $g_i > 0$ $g_i < 0$ $g_i = 0$

Definition 1.3 $(\sum g = 0)$. *Yajieall*

$$\sum_{i=1}^M g_i = 0 \tag{1}$$

??

Table 1: / Current Verification Structures Across Six Industries

Industry	Claimant	Claim Content	M Current M	$\sum g = 0$ $\sum g = 0?$
/ Services	/ Provider	/ Quality	1	/ No
Manufacturing	/ / Factory	/ Compliance	≈ 1	/ No
/ Manufac- turing				
Semiconductor	Wafer Fab / / Yield		1	/ No
/ Semicon- ductors	Fab			
/ Resources	/ Miner	/ Reserves	≈ 1	/ No
Banking	/ / Bank	/ CAR	> 1 ()	/ No
Banking				
Civil Servants	/ Govern-	/ Performance	1	/ No
/ Civil Ser- vice	ment			

??i.e.BankingManufacturing $M > 1$ ISOJORC $\sum g = 0$ ——and——ISO $M > 1 \sum g = 0$

1.2 SCX/YajieCore / Core Innovation of SCX/Yajie

Yajie“ $M > 1$ ”——BankingManufacturingthere exists **all** $M > 1 \sum g = 0$ “”“”

Proposition 1.4 (convergence). $\sum g = 0 A_i g_i \neq 0 M - 1$ because

$$g_i = - \sum_{j \neq i} g_j \quad (2)$$

i.e.eachallon the contrary M

$\sum g = 0$ “”“”——SCX $\sum g = 0$ allUNDECLARED convergenceawaitingthere exists each $\sum g = 0$

2 Formal Framework / Formal Framework

2.1 / Multi-Verifier Consensus Model

we formalizeSCX/YajieCore

Definition 2.1. $\mathcal{C} = \{C_1, C_2, \dots\}$ alleach C_k P_k $\theta_k \in \mathbb{R}$ for example θ_k

Definition 2.2. $A_i C_k$

$$\hat{\theta}_{k,i} = \theta_k + g_i + \varepsilon_{k,i} \quad (3)$$

where $g_i | A_i \varepsilon_{k,i} \sim \mathcal{N}(0, \sigma_i^2)$

Definition 2.3 (Yajie). $\sum g = 0$ *MC_k Yajie*

$$\hat{\theta}_k^{Yajie} = \frac{1}{M} \sum_{i=1}^M \hat{\theta}_{k,i} \quad (4)$$

$$\sum g = 0 \mathbb{E}[\hat{\theta}_k^{Yajie}] = \theta_k + \frac{1}{M} \sum_i g_i = \theta_k \text{ i.e. Yajie}$$

Theorem 2.4 (Bias Detectability). $M \geq 3$ if $A_i | g_i | > 0$ there exists $1 - \alpha$

$$|g_i| > z_{\alpha/2} \cdot \frac{\sigma_i}{\sqrt{T}} \quad (5)$$

where $T \geq z_{\alpha/2}$

theorem ?? $\sum g = 0$ such that “” — T convergence

2.2 UNDECLARED / Game-Theoretic Analysis of UNDECLARED

Definition 2.5 (UNDECLARED). if $P_k M > 1$ satisfying $\sum g = 0$ C_k SCX UNDECLARED UNDECLARED SCX

UNDECLARED “i.e.” Silence-as-Admission

Proposition 2.6 (i.e.). SCX if there exists Yajie UNDECLARED Bayesian

$$P(\cdot | \text{UNDECLARED}) > P(\cdot) \quad (6)$$

there exists if and only if UNDECLARED “”

UNDECLARED “” — UNDECLARED

2.3 / Audit Market Size Estimation

?? SCX

Table 2: SCX / Potential SCX Audit Market by Industry

Industry	/ Global Rev- enue	/ Current Audit %	SCX Potential SCX Mar- ket
	~\$6.5	~0.5%	~\$325
Manufacturing	~\$17	~1.0%	~\$1,700
Semiconductor	~\$6,000	~2.0%	~\$120
	~\$5	~1.5%	~\$750
Banking	~\$6	~3.0%	~\$1,800
Civil Servants	~\$18	~0.3%	~\$540
	~\$53	—	~\$5,235

SCX5,000/ i.e.SCXwhere20%1,000/——

3 / Professional Services

3.1 Inflation / Current Structure: Inflation of Declarations

Core“”

- / ConsultingBCGawaiting“” PPT There is no way to know“Client Renewal Rate”Quality ProofCorporate Inertia——Switching Costs
- / Legal Services“”
——“”——there existsbecause
- / Advertising“” Growth ——
- / Healthcare “”
- Higher Education / Higher Education“”Proof
“”——i.e.
Akerlof——Information Asymmetrybecause

3.2 $\sum g = 0$ / What $\sum g = 0$ Exposes

SCX

- (1) / Decoupling of Brand Premium from Quality Premium $\sum g = 0$ “effectiveness” MProject12
24
SCX

- (2) / Case Selection Bias YajieCercisScore ——80% “80%” 50%
- (3) / Measurability of Creative Output effectiveness M YajieScoreQuality Proof
- (4) / The Truth of Healthcare Quality “” —————YajieScore
- (5) “” / Exposure of Educational Value-Added SCX “” YajieScore——

3.3 / Winners and Losers

Table 3: SCX	
/ Winners	/ Losers
Proof /Information Asymmetry	

3.4 / Recommended Strategy

0–12 SCXYajie“” i.e.SCXM $\geq$ 536

12–24 First MoversSCXdefineAudit DimensionsYajieScore“Yajie”

24 YajieFirst Movers——→YajieScore→→

4 Manufacturing / Manufacturing

4.1 / Current Structure: False Security of Single-Point Inspection

ManufacturingassumptionInternal InspectionawaitingQuality Assurance This assumption is wrong

Manufacturingthere exists——ISO $\sum g = 0$ “”

- (1) / Incentive Conflict
 - if Corruption——
- (2) / Sampling Bias
- (3) / Standard Relaxation define ——“”
 - for100%for“”

4.2 $\sum g = 0$ / What $\sum g = 0$ Exposes

- (1) **reliabilityScale / Magnitude of Self-Inspection Unreliability** simultaneously-Internal Inspection $MM \geq 3g_i$ 0.1%0.8%——“”Quality Integrity Deficit
- (2) / **Hidden Quality Risk Propagation in Supply Chains** SCXeacheachYajieScore “” “”
- (3) / **Fundamental Flaw of Inspection Economics** —— SCX“”
- (4) **ISO / The Ritualistic Nature of ISO Certification** ISO 9001awaiting $M > 1\sum g = 0$ “” SCXISO—— $\sum g = 0$
- (5) / **Separation of Process Quality from Inspection Quality**
SCX“” “” ——

4.3 / **Winners and Losers**

Table 4: ManufacturingSCX

/ Winners	/ Losers
SPCTQM	“_”
	“”
	—

4.4 / **Recommended Strategy**

0–12SCX
+Internal Inspection
12–24Yajie allSCX “Yajie”YajieScore
24Yajie YajieCore “Yajie”

5 **Semiconductor / Semiconductors**

5.1 i.e. / **Current Structure: Yield as State Secret**

Semiconductor Core——yield——
Core TSMC3nmGAAGAAIntel 4
Wafer Fab“80%”——40%95%awaiting

——Core ifTSMCTSMC Semiconductor“”thus
 “” “”
 “”

5.2 $\sum g = 0$ ——Core / What $\sum g = 0$ Exposes——and the Core Tension

- (1) $M\sum g = 0$ ——
- (2) Semiconductor“” SCX“”
- (3) Wafer FabeachAB SCXifWafer Fab
- (4) “3.2%”—— $M > 1$ “”

Core vs. SemiconductorSCX SCX $M > 1$ ——SemiconductorCore Wafer Fabawait-
 ingCompetitive Advantage

- **AZero-Knowledge AuditZK-Audit**——Zero-Knowledge ProofWafer FabSCXProof
 ZKSemiconductor
- **BTEE**——Wafer FabTEE
- **C“”**——ifWafer FabSCXUNDECLARED
- **D**——Wafer FabSCXWafer Fab

5.3 / Three-Tier Audit Architecture

we propose

Table 5: Semiconductor / Three-Tier Semiconductor Audit Architecture

Level	Description	Application	Valuation
Level 1	Wafer Fab		
Level 2	Abstract		awaiting
Level 3	$M > 1$		

5.4 / Winners and Losers

Winner CategoriesTSMC——“Industry Consensus” “Provable Facts”Zero-Knowledge
 ProofSemiconductorWafer Fab
 Wafer FabInformation AsymmetryMarket Value

5.5 / Recommended Strategy

SemiconductorSCX “” “”

0–24 “Semiconductor” /ZKZK-AuditTEE-Auditfeasibility CoreSCX

24–48 Wafer Fab Level 1Level 2awaitingLevel 3

48 Level 3 “” Level 1Wafer Fab“Level 3”

6 / Natural Resources

6.1 / Current Structure: What’s Underground, I Decide

————Coreall

- / Mineral Reserve Declarations “500LCE”

there existsCompany ValuationCEO————

- / The Classification Game “”(Proven) “”(Probable) “”(Possible) JORCNI 43-101
“” “”

- / Production Data ——— “”

- / Fraudulence of Environmental Claims “” “” “” ———

- / Self-Certification of Carbon Credits “”

- / The Politics of Oil Reserves OPEC 1980OPEC “” ———50%

6.2 $\sum g = 0$ / What $\sum g = 0$ Exposes

(1) / Reserve Bubbles $M > 1$ “” $\sum g = 0$ if “Inflation”

(2) Decays / The True Grade Decline Curve SCX $\sum g = 0$ “” ———

(3) / Pre-Disaster Early Warning $M > 1$ ifSCX ——— “”

(4) “” / The “Authenticity Deficit” of Carbon Credits ProjectSCX++ M if60%40% “” Project

(5) / The End of Reserve Politics if1000SCXUNDECLAREDSCX “” “”

6.3 / Winners and Losers

Table 6: SCX

/ Winners	/ Losers
“Audit Premium”	Inflation
Project	
//	—

6.4 / Recommended Strategy

0–18 1–2SCX*M* = 5i.e. —
18–36 SCXalleach/SCXYajie
36Yajie “SCX” SCX-Certified CopperSCX-Certified Lithiumawaiting

7 Banking / Banking

7.1 / Current Structure: Self-Reporting Under Regulatory Rubber-Stamp

Bankingassumption Both parts of this assumption have serious flaws

- (1) / Banks’ Self-Reporting Incentives
RWA —1.2%1.0%— “” — “”
- (2) / Regulators’ Verification Limitations i.e.ECBPRAInformation Asymmetry
- (3) / The Performativity of Stress Tests 2008 “” assumptionGDP—
- (4) auditability / The Unauditability of Complex Financial Instruments —CDO-CLOETF— forthere exists “”
- (5) Banking / The Blind Spot of Systemic Risk —allsimultaneouslyFails ABi.e.

7.2 $\sum g = 0$ / What $\sum g = 0$ Exposes

- (1) $M > 1 \sum g = 0$ all
- (2) “”
– “” Capital Integrity Deficit

- (3) Non-PerformingNPL “Non-Performing”define “” SCXM > 1
- (4) LCRNSFR“High-Quality Liquid Assets”define HQLA SCXreliability
- (5) ifSCX——
- (6) ifSCXBankingthere exists“”

7.3 / Winners and Losers

Table 7: BankingSCX	
/ Winners	/ Losers
SCX	
SCX	
stability	—

7.4 / Recommended Strategy

- 0–18 awaitingSCX RWA
- 18–36 Financial RegulationSCX SCX
- 36 YajieScore SCX “Yajie”Competitive Advantage——YajieScore

8 Civil Servants / Civil Service

8.1 M = 1 / Current Structure: The M = 1 Performance Loop

allCivil ServantsInformation Asymmetry——because

- (1) M = 1→→→“/” Corruption——
- (2) **Corruption** Corruption/Corruption CorruptionCorruption Corruptionη——becauseCorruption
- (3) **effectiveness** “”
 - all“” “”——100%
- (4)

8.2 $\sum g = 0$ / What $\sum g = 0$ Exposes

- (1) Civil Servants $M > 1$ ————— $\sum g = 0$ each if all $g_{\text{superior}} > 0$ ——— i.e. “”
- (2) **Score** $AB \cdot BM > 1$ if “YajieScore”
- (3) **Corruption** CorruptionSCX ——— for example “” there exists $g - g > 0$ $\sum g = 0$ “CorruptionYajieScore”
- (4) “”SCX $M > 1$ NGO $\sum g = 0$ “Fails” will become provable — which is impossible under the current system
- (5) **Scale** SCX ———
- (6) “XYProject” ——— SCX $M > 1$ YajieScore

Core Civil ServantsSCXall

- **ASCX** ——— Civil ServantsSCX/Academic
- **B** ——— Corruptionawaiting
- **C** ——— /simultaneouslySCX

8.3 / Winners and Losers

Table 8: Civil ServantsSCX

/ Winners		/ Losers	
Civil	ServantsProvable	Competen-	CorruptionRent-Seeking
cePerceived	Loyalty		
		“”	
		“”	

8.4 / Recommended Strategy

0–24 SCX Corruption

24–48 SCXSCXCivil Servants/

48 SCX “SCX”SCX

9 / Cross-Industry Synthesis

9.1 $M = 1$ universality / The Universality of the $M = 1$ Problem

allCore $M = 1$ although

Table 9: $M = 1$ / Unified View of the $M = 1$ Problem Across Six Industries

Industry	Claimant	Claim	Current Verifier
Manufacturing / Semiconductor	Wafer Fab	80% X	Wafer Fab
Banking Civil Servants	/	15% /	

$M = 1$ —— SCX/Yajie there exists $M > 1$ therefore $M = 1$ “”——
all “” $M = 1$ —— “” “”

9.2 $\sum g = 0$ / The Mathematical Violence of $\sum g = 0$

$\sum g = 0$ Yajie “”——
“” Fails because because ——
 $\sum g = 0$ $M \sum g = 0$ ——
——because “” Quality Assurance

9.3 / Structural Sources of First-Mover Advantage

SCX First Movers——

- (1) / **Data Accumulation Positive Feedback** First Movers $\rightarrow \rightarrow$ Yajie Score $\rightarrow \rightarrow \rightarrow$
First Movers
- (2) / **Standard-Setting Power** First Movers Late Movers First Movers define Audit
Dimensions
- (3) / **Switching Cost Lock-in** Yajie Score “” Yajie——
- (4) / **Talent and Auditor Lock-in** / First Movers

9.4 UNDECLARED / The Deterrent Power of UNDECLARED

UNDECLARED SCX “”——

SCXUNDECLARED awaiting“” UNDECLARED “Yajie” “”

UNDECLARED “i.e.” ——

SemiconductorCivil ServantsUNDECLARED //such thatUNDECLARED
textbf——“UNDECLARED” “”

9.5 / The New Economic Class of Auditors

SCXYajie

//—— $M = 1$ YajieCore

- $g_i \sum g = 0$
- “”——Task
- Consistency
- SCX “”——

9.6 / The Quantifiability of Trust Premium

SCX

SCX/Yajie

- YajieScore10%for
- SCXYajieScore= 0.95forScore= 0.70
- YajieAforB
- YajieScore20%for20%

SCX5–10 “”

9.7 / Cross-Industry Audit Linkages

SCXthere exists

- -SCX YajieScoreYajieScore
- -YajieScoreYajieScore
- -Civil Servants ifCivil ServantsSCXYajieScorethereforeSCX

SCX——

10 / Discussion: Risks and Challenges

10.1 / Auditor Collusion Risk

if $M \sum g = 0$ each g_i

- M ——
- ——
- “” ——

10.2 / Privacy-Transparency Balance

Semiconductor Civil Servants ZK-Audit TEE

10.3 / Audit Cost and Coverage

SCX —— for example “Scale” Audit Dimensions $\sum g = 0$ “”

10.4 / Geopolitical Resistance

SCX Yajie Score

10.5 “False Positive” Corruption / False Positive Corruption Flagging Risk

Civil Servants Corruption “Corruption” Civil Servants $p < 0.001$ ——Corruption

11 Conclusion / Conclusion and Action Framework

11.1 Core Conclusion / Core Conclusions

(1) $\sum g = 0$ Civil Servants $M > 1$ Banking Manufacturing $M > 1$ /ISO/JORC

SCX/Yajie all $\sum g = 0$

(2) $\sum g = 0$ because “” —— Consistency

(3) all —— First Movers

(4) Semiconductor Civil Servants “” because Semiconductor Civil Servants there exists ZK-Audit TEE-Audit

(5) Yajie SCX 5,000/SCX 1,000–2,500/

- (6) UNDECLARED “i.e.”
- (7) SCXCore “Provable Integrity”

11.2 / Tiered Action Framework

Table 10: / Tiered Action Framework

Phase	Core Core Actions	Key Milestones
0–12	2–3“”SCX	Yajie
12–36	Top 20	YajieScore
36+	Yajie “”	“” “” SCX

11.3 Concluding Outlook / Concluding Outlook

SCX/Yajie—— It does not change what industries do, but changes how industries**prove**
they did what they claimed
 SCX

$$\begin{array}{c} \text{“}all\sum g = 0 \\ \text{——} \\ becausebecause\text{”} \end{array}$$

——SCXCore 4.7
 “”Trust-Me SCX/Yajie“”Verify-Me —— Configurationprecision ——becausebecause

A AppendixATerm / Appendix A: Glossary

Term / Term	define / Definition
M	$/M = 1M > 1$
g_i	$ig_i > 0g_i < 0$
$\sum g = 0$	YajieCoreall

Term / Term	define / Definition
YajieScore / Yajie Score	$\sum g = 0M$
Cercis	YajieScoreScore
UNDECLARED	$SCXM > 1$
/ Trust Premium	/
ZK-Audit	Zero-Knowledge AuditProofsatisfying
TEE-Audit	
/ Capital Integrity Deficit	
/ Quality Integrity Deficit	
Inflation / Reserve Inflation Factor	
i.e. / Silence-as- Admission	there existsUNDECLARED

Table 11: Term / Glossary of Terms

B AppendixBAudit Dimensions / Appendix B: Industry Audit Dimensions Reference

B.1 Audit Dimensions / Services Audit Dimensions

CoreAudit Dimensions		M	
Higher Edu- cation	-	5+	Project12-24
		5+	
		5+	Project
		7+	
		5+	

B.2 ManufacturingAudit Dimensions / Manufacturing Audit Dimensions

CoreAudit Dimensions		M
stability	vs	3+
	Cpk	3+
		3+
	YajieScore	N/A

B.3 SemiconductorAudit Dimensions / Semiconductor Audit Dimensions

CoreAudit Dimensions		Di-
<5nm		Level 12
≥7nm		Level 23
	stability	Level 3
		TEE-Audit
		+

B.4 Audit Dimensions / Resources Audit Dimensions

CoreAudit Dimensions		M
/		5+
		+
		5+
		+
vs		5+
		/

B.5 BankingAudit Dimensions / Banking Audit Dimensions

CoreAudit Dimensions		M
RWANPL		5+
VaR		5+
LCRNSFR		5+
		3+

B.6 Civil Servants Audit Dimensions / Civil Service Audit Dimensions

CoreAudit Dimensions		M	
Corruption	-	5+	Project
		5+	
		5+	
		5+	/
		7+	
		7+	

C Appendix C / Appendix C: Key Mathematical Derivations

C.1 Bias Detectability Proof / Proof of Bias Detectability (Theorem ??)

Proof. $A_i T$

$$\hat{\theta}_{k,i} = \theta_k + g_i + \varepsilon_{k,i}, \quad \varepsilon_{k,i} \sim \mathcal{N}(0, \sigma_i^2) \quad (7)$$

$$\sum g = 0 \quad M - 1$$

$$\bar{\theta}_{k,-i} = \frac{1}{M-1} \sum_{j \neq i} \hat{\theta}_{k,j} = \theta_k + \frac{1}{M-1} \sum_{j \neq i} g_j + \bar{\varepsilon}_{k,-i} \quad (8)$$

where $\bar{\varepsilon}_{k,-i} \sim \mathcal{N}(0, \sigma_{-i}^2 / (M-1))$
define

$$D_{k,i} = \hat{\theta}_{k,i} - \bar{\theta}_{k,-i} = g_i - \frac{1}{M-1} \sum_{j \neq i} g_j + (\varepsilon_{k,i} - \bar{\varepsilon}_{k,-i}) \quad (9)$$

$$\sum g = 0 \quad g_i = - \sum_{j \neq i} g_j \text{ therefore}$$

$$\frac{1}{M-1} \sum_{j \neq i} g_j = - \frac{g_i}{M-1} \quad (10)$$

$$D_{k,i} = g_i + \frac{g_i}{M-1} + \eta_{k,i} = \frac{M}{M-1} g_i + \eta_{k,i} \quad (11)$$

where $\eta_{k,i} \sim \mathcal{N}(0, \sigma_i^2 + \sigma_{-i}^2 / (M-1))$

T

$$\bar{D}_i = \frac{1}{T} \sum_{k=1}^T D_{k,i} = \frac{M}{M-1} g_i + \bar{\eta}_i, \quad \bar{\eta}_i \sim \mathcal{N}\left(0, \frac{\sigma_i^2 + \sigma_{-i}^2 / (M-1)}{T}\right) \quad (12)$$

$$H_0 : g_i = 0$$

$$Z = \frac{\bar{D}_i}{\sqrt{(\sigma_i^2 + \sigma_{-i}^2/(M-1))/T}} \sim \mathcal{N}(0, 1) \quad (13)$$

$$H_0 \mid |Z| > z_{\alpha/2} \text{ i.e.}$$

$$\left| \frac{M}{M-1} g_i \right| > z_{\alpha/2} \cdot \sqrt{\frac{\sigma_i^2 + \sigma_{-i}^2/(M-1)}{T}} \quad (14)$$

$$T \rightarrow \infty \rightarrow 0 \text{ therefore any } g_i \quad \square$$

C.2 i.e. / Formal Game Model of Silence-as-Admission

Proof. $P(\tau \in \{H, L\}) = 1$ where $H \text{ " " } L \text{ " " } P(P(\tau = H) = p, P(\tau = L) = 1 - p)$

$P(\text{SCX} \mid \tau = H) = 1$ if $\tau = L$

$H \mid R_H = 0$ $L \mid C = 0$

$H \mid L = r$

$$P(\tau = L \mid r) = \frac{P(r \mid L) \cdot P(L)}{P(r \mid L) \cdot P(L) + P(r \mid H) \cdot P(H)} = \frac{1 \cdot (1 - p)}{1 \cdot (1 - p) + 0 \cdot p} = 1 \quad (15)$$

$$\text{therefore } P(\mid \text{UNDECLARED}) = 1 > P() = 1 - p \text{ for any } p < 1 \quad \square$$

References / References

- [1] SCX Protocol Whitepaper — SCX/YajieCore / Core Technical Specification.
- [2] Akerlof, G. (1970). “The Market for Lemons: Quality Uncertainty and the Market Mechanism.” *Quarterly Journal of Economics*, 84(3), 488–500.
- [3] JORC Code (2012). Australasian Code for Reporting of Exploration Results, Mineral Resources and Ore Reserves.
- [4] NI 43-101 (2011). National Instrument 43-101: Standards of Disclosure for Mineral Projects. Canadian Securities Administrators.
- [5] Basel III Framework. Basel Committee on Banking Supervision. *Basel III: A Global Regulatory Framework for More Resilient Banks and Banking Systems*.
- [6] Goldwasser, S., Micali, S., & Rackoff, C. (1989). “The Knowledge Complexity of Interactive Proof Systems.” *SIAM Journal on Computing*, 18(1), 186–208.
- [7] David, P. A. (1985). “Clio and the Economics of QWERTY.” *American Economic Review*, 75(2), 332–337.
- [8] Arthur, W. B. (1989). “Competing Technologies, Increasing Returns, and Lock-In by Historical Events.” *Economic Journal*, 99(394), 116–131.

- [9] Katz, M. L. & Shapiro, C. (1985). “Network Externalities, Competition, and Compatibility.” *American Economic Review*, 75(3), 424–440.
- [10] Farrell, J. & Saloner, G. (1985). “Standardization, Compatibility, and Innovation.” *RAND Journal of Economics*, 16(1), 70–83.
- [11] Kaplan, J. et al. (2020). “Scaling Laws for Neural Language Models.” *arXiv:2001.08361*.
- [12] Raji, I. D. et al. (2020). “Closing the AI Accountability Gap: Defining an End-to-End Framework for Internal Algorithmic Auditing.” *FAccT '20*.
- [13] Mökander, J. et al. (2021). “Conformity Assessments and Post-Market Monitoring: A Guide to the Role of Auditing in the Proposed European AI Regulation.” *Minds and Machines*.
- [14] Sagan, S. D. (1996). “Why Do States Build Nuclear Weapons? Three Models in Search of a Bomb.” *International Security*, 21(3), 54–86.
- [15] SCXassumptionawaiting

filesSCX

Confidential document. For SCX internal research use only. Unauthorized distribution prohibited.

—— / **End of Document** ——